BARCLAYS BANK OF KENYA LIMITED FINANCIAL STATEMENTS

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 30 June 2016

		Bank				Group			
		June 2015 Shs '000 Unaudited	December 2015 Shs '000 Audited	March 2016 Shs '000 Unaudited	June 2016 Shs '000 Unaudited	June 2015 Shs '000 Unaudited	December 2015 Shs '000 Audited	March 2016 Shs '000 Unaudited	June 2016 Shs '000 Unaudited
I	**STATEMENT OF FINANCIAL POSITION**								
A	ASSETS								
1	Cash balances (both local and foreign)	5,735,934	6,126,056	4,899,751	3,605,575	5,735,934	6,126,056	4,899,751	3,605,575
2	Balances due from Central Bank of Kenya	13,014,339	12,054,439	11,521,115	19,493,837	13,014,339	12,054,439	11,521,115	19,493,837
3	Kenya Government and other securities held for dealing purposes	7,103,405	2,245,258	5,666,694	7,339,521	7,103,405	2,245,258	5,666,694	7,339,521
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5.a)	Investment Securities:	-	-	-	-	-	-	-	-
	Held to Maturity:	-	-	-	-	-	-	-	-
	a. Kenya Government securities	-	-	-	-	-	-	-	-
	b. Other securities	-	-	-	-	-	-	-	-
b)	Available for sale:	56,729,365	45,805,987	46,012,853	47,569,434	56,729,365	45,805,987	46,012,853	47,569,434
	a. Kenya Government securities	56,156,177	45,347,437	45,611,622	47,225,521	56,156,177	45,347,437	45,611,622	47,225,521
	b. Other securities	573,188	458,550	401,231	343,913	573,188	458,550	401,231	343,913
6	Deposits and balances due from local banking Institutions	1,200,000	-	43,775	1,600,000	1,200,000	-	43,775	1,600,000
7	Deposits and balances due from banking Institutions abroad	185,628	252,867	338,156	405,909	185,628	252,867	338,156	405,909
8	Tax recoverable	-	134,397	-	-	-	134,397	-	-
9	Loans and advances to customers(net)	133,554,804	145,378,553	152,442,482	153,304,211	133,554,804	145,378,553	152,442,482	153,304,212
10	Balances due from banking institutions in the group	3,592,201	13,951,455	5,040,505	6,130,352	3,592,201	13,951,455	5,040,505	6,130,352
11	Investment in Associates	-	-	-	-	-	-	-	-
12	Investment in Subsidiary Companies	275,678	275,678	275,678	275,678	-	-	-	-
13	Investment in Joint Ventures	-	-	-	-	-	-	-	-
14	Investment properties	-	-	-	-	-	-	-	-
15	Property and equipment	3,092,942	3,324,019	3,421,874	3,351,384	3,092,942	3,324,019	3,421,874	3,351,384
16	Prepaid Operating Rental Leases	57,584	56,329	56,329	56,329	57,584	56,329	56,329	56,329
17	Intangible assets	2,222,581	1,987,740	1,848,708	1,710,063	2,222,581	1,987,740	1,848,708	1,710,063
18	Deferred Tax Asset	192,603	474,685	445,771	463,824	192,603	474,685	445,771	463,824
19	Retirement Benefit Asset	207,418	255,600	258,869	268,942	207,418	255,600	258,869	268,942
20	Other assets	7,535,389	8,829,635	9,640,580	10,567,512	7,538,380	8,829,635	9,637,585	10,842,843
21	TOTAL ASSET	234,699,871	241,152,698	241,913,140	256,142,570	234,427,184	240,877,020	241,634,467	256,142,225
B	LIABILITIES								
22	Balances due to Central Bank	-	-	-	-		-	-	-
23	Customers' deposits	163,473,719	165,358,507	169,211,271	182,875,680	163,473,717	165,082,830	168,932,598	182,875,680
24	Deposits and balances due to Banking institutions (Local)	4,891,000	-	-	0	4,891,000	-	-	-
25	Deposits and balances due to Banking institutions (Foreign)	162,808	187,385	192,447	163,145	162,808	187,385	192,447	163,145
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	-	-	-	-	-	-	-	-
28	Balances due to banking institutions in the group	19,531,238	27,816,476	19,792,249	23,201,804	19,531,238	27,816,476	19,792,249	23,201,805
29	Tax payable	218,709	-	812,712	536,137	218,709	-	812,712	536,137
30	Dividends payable	1,086,307	-	-	1,086,307	1,086,307	-	-	1,086,307
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement Benefit Liability	-	-	-	-	-	-	-	-
33	Other liabilities	9,098,221	8,073,958	9,588,978	9,175,913	8,825,536	8,073,958	9,588,978	9,175,914
34	TOTAL LIABILITIES	198,462,002	201,436,326	199,597,657	217,038,986	198,189,315	201,160,649	199,318,984	217,038,988
C	SHAREHOLDERS' FUNDS								
35	Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36	Share premium / (discount)	-	-	-	-	-	-	-	-
37	Revaluation reserves	(290,367)	(962,307)	(515,797)	(218,880)	(290,367)	(962,307)	(515,797)	(218,880)
38	Retained earnings / (Accumulated losses)	33,371,747	32,468,100	35,462,811	36,373,461	33,371,747	32,468,100	35,462,811	36,373,114
39	Statutory loan loss reserve	440,721	926,927	89,676	-	440,721	926,927	89,676	-
40	Other reserves	-	222,654	217,796	233,235	-	222,654	217,796	233,235
41	Proposed dividend	-	4,345,229	4,345,229	-	-	4,345,229	4,345,229	-
42	Capital Grants	-	-	-	-	-	-	-	-
43	TOTAL SHAREHOLDERS' FUND	36,237,869	39,716,371	42,315,483	39,103,584	36,237,869	39,716,371	42,315,483	39,103,237
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUND	234,699,871	241,152,697	241,913,140	256,142,570	234,427,184	240,877,020	241,634,467	256,142,225
II	**STATEMENT OF COMPREHENSIVE INCOME**								
1	INTEREST INCOME								
1.1	Loans and advances to customers	8,848,247	18,839,544	5,057,057	10,177,970	8,848,247	18,839,544	5,057,057	10,177,970
1.2	Government securities	2,825,664	5,140,534	1,248,557	2,573,410	2,825,664	5,140,534	1,248,557	2,573,410
1.3	Deposits and placements with banking institutions	68,547	103,354	28,945	86,484	68,547	103,354	28,945	86,484
1.4	Other interest income	423,907	1,202,316	407,672	1,065,593	423,907	1,202,316	407,672	1,065,593
1.5	Total interest income	12,166,365	25,285,748	6,742,231	13,903,457	12,166,365	25,285,748	6,742,231	13,903,457
2	INTEREST EXPENSES								
2.1	Customer deposits	1,878,009	4,275,161	1,108,667	2,209,507	1,878,009	4,275,161	1,108,667	2,209,507
2.2	Deposits and placements with banking institutions	162,436	554,602	214,354	273,494	162,436	554,602	214,354	273,494
2.3	Other interest expenses	85,763	45,464	-	323,335	85,763	45,464	-	323,335
2.4	Total interest expenses	2,126,208	4,875,227	1,323,021	2,806,336	2,126,208	4,875,227	1,323,021	2,806,336
3	NET INTEREST INCOME	10,040,157	20,410,521	5,419,210	**11,097,121**	10,040,157	20,410,521	5,419,210	11,097,121
4	NON - OPERATING INCOME								
4.1	Fees and commissions income on loans & advances	768,568	1,563,814	402,919	828,135	768,568	1,563,814	402,919	828,135
4.2	Other fees and commissions	2,394,162	5,086,219	1,249,566	2,522,595	2,394,162	5,086,219	1,249,566	2,522,595
4.3	Foreign exchange trading income	876,982	2,033,747	676,605	1,348,595	876,982	2,033,747	676,605	1,348,595
4.4	Dividend income	-	-	-	-	-	-	-	-
4.5	Other income	742,299	367,459	241,173	438,572	742,299	367,459	241,173	438,572
4.6	Total non-interest income	4,782,011	9,051,239	2,570,263	5,137,897	4,782,011	9,051,239	2,570,263	5,137,897
5	Total operating income	14,822,168	29,461,760	7,989,473	16,235,018	14,822,168	29,461,760	7,989,473	16,235,018
6	OPERATING EXPENSES								
6.1	Loan loss provision	585,975	1,765,778	797,890	2,009,443	585,975	1,765,778	797,890	2,009,443
6.2	Staff costs	4,529,345	9,305,169	2,447,832	4,875,849	4,529,345	9,305,169	2,447,832	4,875,849
6.3	Directors emoluments	11,683	21,625	4,192	65,324	11,683	21,625	4,192	65,324
6.4	Rental charge	564,056	1,202,064	323,909	643,241	564,056	1,202,064	323,909	643,241
6.5	Depreciation on property and equipment	247,454	486,871	143,188	308,805	247,454	486,871	143,188	308,805
6.6	Amortisation charges	279,417	566,765	137,773	280,066	279,417	566,765	137,773	280,066
6.7	Other operating expenses	2,168,924	4,039,908	1,092,047	2,229,166	2,168,924	4,039,908	1,092,047	2,229,166
7	Total operating expenses	8,386,854	17,388,180	4,946,831	10,411,894	8,386,854	17,388,180	4,946,831	10,411,894
	Profit before tax and exceptional items	6,435,314	12,073,580	3,042,642	5,823,124	6,435,314	12,073,580	3,042,642	5,823,124
8	Exceptional items	-	-	-	-	-	-	-	-
9	Profit after exceptional items	6,435,314	12,073,580	3,042,642	5,823,124	6,435,314	12,073,580	3,042,642	5,823,124
10	Current tax	(1,828,753)	(3,612,757)	(933,130)	(1,953,910)	(1,828,753)	(3,612,757)	(933,130)	(1,953,910)
11	Deferred tax	(54,369)	(60,241)	72,172	217,475	(54,369)	(60,241)	72,172	217,475
12	Profit after tax and exceptional items	4,552,192	8,400,582	2,181,684	4,086,689	4,552,192	8,400,582	2,181,684	4,086,689
13	OTHER COMPREHENSIVE INCOME								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	24,901	(935,013)	637,871	1,062,039	24,901	(935,013)	637,871	1,062,039
13.3	Revaluation surplus on property, plant and equipment	-	-	-		-	-	-	
13.4	Share of other comprehensive income of associates	-	-	-		-	-	-	
13.5	Income tax relating to components of other comprehensive income	(7,470)	280,504	(191,361)	(318,612)	(7,470)	280,504	(191,361)	(318,612)
14	Other comprehensive income for the year net of tax	17,431	(654,509)	446,510	743,427	17,431	(654,509)	446,510	743,427
15	Total comprehensive income for the year	4,569,623	7,746,073	2,628,194	4,830,116	4,569,623	7,746,073	2,628,194	4,830,116
	Earnings per Share (Shs)	0.84	1.55	0.40	0.75	0.84	1.55	0.40	0.75
	Dividends per share (Shs)	0.20	1.00	-	0.20	0.20	1.00	-	0.20

		June 2015 Shs '000 Unaudited	December 2015 Shs '000 Audited	March 2016 Shs '000 Unaudited	June 2016 Shs '000 Unaudited
III	**OTHER DISCLOSURES**				
1)	Non-performing loans and advances				
a)	Gross non-performing loans and advances	5,946,804	5,336,166	7,891,337	8,764,640
b)	Less: Interest in suspense	1,260,260	1,454,488	1,494,942	2,211,200
c)	Total non performing loans and advances	4,686,544	3,881,678	6,396,395	6,553,440
d)	less: loan loss provisions	2,571,245	2,012,924	3,504,980	3,849,515
e)	Net non performing loans(c-d)	2,115,299	1,868,754	2,891,415	2,703,925
f)	Discounted value of securities	816,433	811,108	948,786	957,527
g)	Net NPLs (Excess) / Exposure (e-f)	1,298,866	1,057,646	1,942,629	1,746,398
2)	Insider loans and advances				
a)	Directors ,shareholders and associates	44,808	48,868	48,122	47,914
b)	Employees	12,172,207	13,409,431	13,565,323	13,482,054
c)	Total insider loans and advances	12,217,015	13,458,299	13,613,445	13,529,968
3)	Off Balance sheet items				
a)	Letters of credit ,guarantees, acceptances	31,457,556	33,353,230	34,483,695	34,758,627
b)	Forwards, swaps and options	12,282,764	23,117,586	14,391,451	9,925,218
c)	Other contingent liabilities	3,193,350	4,662,700	-	-
	Total Contingent liabilities	46,933,670	61,133,516	48,875,146	44,683,845
4)	Capital Strength				
a)	Core capital	33,811,525	35,183,868	37,099,960	37,068,129
b)	Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess / (Deficiency)	32,811,525	34,183,868	36,099,960	36,068,129
d)	Supplementary capital	5,398,752	6,037,786	5,158,639	5,048,135
e)	Total capital	39,210,277	41,221,654	42,258,599	42,116,265
f)	**Total risk weighted assets**	**212,199,291**	**224,120,795**	**232,500,536**	**234,234,960**
g)	Core capital / total deposit liabilities	20.7%	21.3%	21.9%	20.3%
h)	Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%
i)	Excess / (Deficiency)	12.7%	13.3%	13.9%	12.3%
j)	Core capital / total risk weighted assets	15.9%	15.7%	16.0%	15.8%
k)	Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
l)	Excess / (Deficiency)	5.4%	5.2%	5.5%	5.3%
m)	Total capital / total risk weighted assets	18.5%	18.4%	18.2%	18.0%
n)	Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%
o)	Excess / (Deficiency)	4.0%	3.9%	3.7%	3.5%
5	Liquidity				
a)	Liquidity ratio	41.1%	34.1%	33.2%	36.6%
b)	Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c)	Excess / (Deficiency)	21.1%	14.1%	13.2%	16.6%

MESSAGE FROM THE DIRECTORS:

The Board of Directors of Barclays Bank of Kenya Limited have resolved to declare an interim dividend for the year 2016 for Shs 0.20 per ordinary share of the Company to be paid on or about Friday, October 7, 2016 to shareholders registered at close of business on Monday, September 19, 2016.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.barclays.co.ke. They may also be accessed at the institution's head office at The West End Building, Waiyaki Way.

They were approved by the Board on Friday August 26, 2016 and signed on its behalf by:

Chairman
Francis Okomo-Okello

Managing Director
Jeremy Awori

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BARCLAYS

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